WELLS FARGO

Price Target Change — April 23, 2026

Homebuilders

PulteGroup, Inc.

We Shake Out Constructive Post Q1

Overweight
Price Target: $140.00

Notable Changes $ (Dec)	Current	Prior	% Chg
Price Target	$140.00	$132.00	6.1% ▲
EPS 2026	10.00	10.15	-1.4% ▼
EPS 2027	10.90	11.10	-1.7% ▼
Rev. (MM) 2026	16.40B	16.47B	-0.4% ▼
Rev. (MM) 2027	17.16B	17.51B	-2.0% ▼

Ticker	PHM
Upside/(Downside) to Target	**8.6%**
Price (04/23/2026)	**$128.93**
52 Week Range	$95.20 - 144.50
Market Cap (MM)	$25,242
Enterprise Value (MM)	$25,711
Average Daily Value (MM)	$245
Dividend Yield	0.8%

$ (Dec) EPS	Q1	Q2	Q3	Q4	FY
2026E	1.79 A	2.43 E	3.22 E	2.57 E	10.00 E
Prior	1.87 E	2.69 E	2.87 E	2.74 E	10.15 E
2027E	2.02 E	2.94 E	3.19 E	2.76 E	10.90 E
Prior	2.19 E	3.05 E	2.98 E	2.89 E	11.10 E

Source: Company Data, Wells Fargo Securities estimates, and Factset.
NA = Not Available, NC = No Change, NE = No Estimate

Sam Reid
Equity Analyst | Wells Fargo Securities, LLC
Sam.Reid@wellsfargo.com | 727-512-3872

Eric Cohen, CFA
Associate Equity Analyst | Wells Fargo Securities, LLC
Eric.Cohen@wellsfargo.com | 212-214-8061

Our Call

PHM's Q2 guide was sub-expects; but we come away from today's EPS comfortable w/ FY guide. Yes, there's a small 2H GM% hockey stick. But PHM cleared specs in Q1 (finished now 1.4/community; tgt = 1-1.5); w/ the spec deck cleared, we lean positive.

Big picture. PHM's headline Q1 actuals (esp incentive loads at 10.9%, +100bps q/q) & Q2 guide were a bit concerning (both sub-expects; full rundown below). We expect some nitpicking on 2H hockey stick dynamics (esp GM%, implied +20-30bps 2H vs 1H at the FY guide low-end). But 2 pts of rebuttal: **1)** Spec metrics are improving (per community but also as a % of WIP, now 45% or -7pts q/q); and **2)** April pace sounds like its tracking in-line w/ normal seasonality. In short, we lean optimistic into 2H.

Key call tibits. 1) PHM remains committed to 60/40 BTO/spec mix (sounds like 1Q27+ is the soft tgt); **2)** Order pace was -3% y/y (2.6); but, orders were positive in all FL mkts (not on our bingo card); **3)** Q1 home costs were nicely lower (-5% y/y to $75/sf w/ PHM calling out a combo of lumber & lower cost building prods/services); on pot'l for higher lumber, PHM typically sees a 2-qtr lag on the P&L, although still expects flat-to-slightly down home costs for the year. In short, mostly good so far.

Add'l tidbits. 1) PHM's mix of land banked lots sits at 8% of its controlled pipe, w/ farmer options still ~50%; investors care a lot about this, and we like PHM's approach (no land mines, pun intended); **2)** Speaking of land, PHM's comments echoed our DHI callback... w/ pockets of the mkt seeing lower dirt, a stealth 2027-28 benefit; **3)** ARM mix was 9% (+2pts vs LY), near peers; **4)** Incentive loads at 10.9% are rich; but, this sounds like it's mostly spec-driven (albeit w/ some BTO forwards too).

Q1 by the numbers. For full Q1 rundown, check out our first take here. Key highlights: **1)** Closings/orders 6.1K/8.0K (closing guide = 5.7-6.1K); order pace was 2.6 (-5% y/y, w/ community count +9%); **2)** Closing/order ASP $542K/$568K (closing guide = $550-$560K; **3)** Backlog vols 10.4K (a touch below our 10.7K, but it sounds like there's some higher GM% BTO in here); **4)** Homebuilder GM% 24.4% (guide - 24.5%-25.0%; **5)** Homebuilder SG&A 11.5% (guide = 11.5%; **6)** EPS of $1.79 (WF/St $1.87/$1.84)

Guide rundown/updated ests. All-in, PHM is guiding to Q2 closings 6.7-7.1K, GM% 24.1-24.4% (low point of yr; highly incentivized specs), ASP $540-$550K & communities +3-5% y/y (a step-down on CC vs Q1). For 2026, guide (reiterated) reflects 28.5-29K, GM% 24.5%-25.0% (BTO/active adult mix benefit in 2H26), SG&A% 9.5%-9.7% and communities +3-5% y/y, all achievable if PHM keeps to its BTO pivot strategy. We take FY26/FY27 to $10.00/$10.90 ($10.15/$11.10 prior); PT to $140 (+$8) on 14x PE/2.0x TBV.

All estimates/forecasts are as of 4/23/2026 unless otherwise stated. 4/23/2026 13:34:48EDT. Please see page 6 for rating definitions, important disclosures and required analyst certifications. Wells Fargo Securities, LLC does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of the report and investors should consider this report as only a single factor in making their investment decision.

This document is for todd@fullertonlp.com and should not be distributed further.

Wells Fargo Express Takeaways

PulteGroup, Inc. (PHM) | Rating: Overweight | Price Target: $140.00
Analyst: Sam Reid

Financials

FY (Dec) $ ESTIMATES	2025A	2026E	2027E
EPS			
Q1	2.57 A	1.79 A	2.02 E
Q2	3.03 A	2.43 E	2.94 E
Q3	2.96 A	3.22 E	3.19 E
Q4	2.56 A	2.57 E	2.76 E
AN	11.12 A	10.00 E	10.90 E
Rev. (MM)	17.31B A	16.40B E	17.16B E
EBIT (MM)	3,033.4 A	2,622.3 E	2,744.0 E
EBITDA (MM)	3.15B A	2.74B E	2.87B E
FCF (MM)	1,748.5 A	2,329.8 E	1,472.4 E

WELLS FARGO vs. CONSENSUS			
Consensus Estimate	11.12 A	10.04 E	11.12 E
Difference from Consensus		(0.3)%	(1.9)%

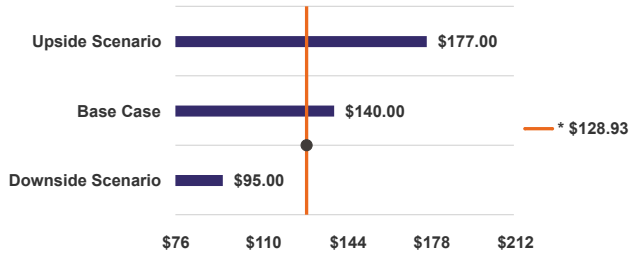
VALUATION			
P/E	11.6x	12.9x	11.8x
EV/Revenue	1.5x	1.6x	1.5x
EV/EBIT	8.5x	9.8x	9.4x
EV/EBITDA	8.2x	9.4x	9.0x
EV/FCF	14.7x	11.0x	17.5x
FCF Yield	6.9%	9.2%	5.8%

Consensus Estimate: EPS; Source FactSet
Source: Company Data, Wells Fargo Securities estimates, and Factset.
NA = Not Available, NE = No Estimate

Investment Thesis

There are many structural reasons to like **PHM** (Overweight): **1) PHM** decisively leaned into specs (via *Centex*), and that has proven successful in today's high rate environment amidst scarce EHS; **2)** Active adult (via *Del Webb*) is high margin and structurally advantageous given 55+ buyer growth; **3) PHM**'s move-up offerings offer ample room for attach/lot premiums (= *enhances already strong margins*). In short, we see value here, offsetting NT sector risks via higher rates.

Risk vs. Reward – Upside/Downside Price Target Scenarios



**As of 04/23/26*
Source: Wells Fargo Securities, LLC estimates and Factset.

Base Case | $140.00

Our $140 price target is based on 14x our calendar 2026 EPS estimate. We believe this is justified given PHM's strong margins/ balance sheet (w/ higher PE a function of some peak-on-trough multiple dynamics). This implies P/TBV of 2x.

Upside Scenario | $177.00

Our $177 upside price target is based on 16.0x our calendar 2026 upside EPS estimate. This implies P/TBV of 2.5x. Key sources of upside include: more favorable rate environment, further easing of the supply chain and continued tightness in the EHS market (favorable for PHM's spec strategy).

Downside Scenario | $95.00

Our $95 downside price target is based on 12.0x our calendar 2026 downside EPS estimate. This implies P/TBV of 1.3x. Key sources of downside include: a deteriorating macro environment, supply chain disruptions and a dramatic step up in existing home supply.

Upcoming Catalysts

Key company-specific catalysts include Q1 earnings, with an updated read on FY26. Elsewhere, macro data points would inevitably matter (rates in particular, plus the usual suspects such as starts, NHS, etc.). EHS dynamics are also important, as shifting EHS trends could affect **PHM**'s spec business (*more EHS inventory = stepped-up competition for new specs* or vice versa).

Company Description

PHM is the third-largest homebuilder in the U.S. by volume (~31K closings in FY24) at an average ASP of $554K. **PHM** sells across multiple well-established brands including flagship *Pulte*, *Centex* (entry-level) and *Del Webb* (active adult). **PHM**'s mix of geographies is broad (with a heavy Sunbelt focus). More recently, **PHM** has leaned into specs (largely across the *Centex* brand), although the company still maintains a healthy mix of BTO across its *Pulte* and *Del Webb* Brands.

This document is for todd@fullertonlp.com and should not be distributed further.

Financials

PulteGroup, Inc. (PHM)
Revenue Build and Drivers

Sam Reid | Wells Fargo
sam.reid@wellsfargo.com | 404-680-7232

Period end date	12/31/22	12/31/23	12/31/24	3/31/25	6/30/25	9/30/25	12/31/25	12/31/25	3/31/26	6/30/26	9/30/26	12/31/26	12/31/26	3/31/27	6/30/27	9/30/27	12/31/27	12/31/27	12/31/28
days	365	365	366	90	91	92	92	365	90	91	92	92	365	90	91	92	92	365	366
($ in millions except per share data)	FY22A	FY23A	FY24A	1Q25A	2Q25A	3Q25A	4Q25A	FY25A	1Q26A	2Q26E	3Q26E	4Q26E	FY26E	1Q27E	2Q27E	3Q27E	4Q27E	FY27E	FY28E
Revenue by Segment																			
Home sales	15,774	15,599	17,319	3,749	4,268	4,248	4,478	16,744	3,308	3,882	4,620	4,092	15,902	3,569	4,400	4,408	4,261	16,638	16,887
Land sales & other	143	142	195	53	35	53	39	180	29	33	33	33	127	33	33	33	33	130	130
Financial services	312	321	433	91	101	103	93	389	72	94	115	87	368	79	109	112	93	393	407
Consolidated Revenue	**$16,229**	**$16,062**	**$17,947**	**$3,893**	**$4,404**	**$4,405**	**$4,611**	**$17,312**	**$3,409**	**$4,009**	**$4,767**	**$4,212**	**$16,396**	**$3,680**	**$4,541**	**$4,552**	**$4,387**	**$17,160**	**$17,424**
Seasonality	100.0%	100.0%	100.0%	22.5%	25.4%	25.4%	26.6%	100.0%	20.8%	24.4%	29.1%	25.7%		21.4%	26.5%	26.5%	25.6%		
Consensus Sales	***16,229***	***16,062***	***17,947***	***3,893***	***4,404***	***4,405***	***4,611***	***17,312***	***3,409***	***4,137***	***4,266***	***4,544***	***16,320***	***3,710***	***4,290***	***4,480***	***4,923***	***17,072***	***18,364***
Consensus Land Sales	*143*	*142*	*195*	*53*	*35*	*53*	*39*	*180*	*29*	*37*	*46*	*40*	*167*	*37*	*40*	*42*	*43*	*164*	*130*
Operational data (company-wide)																			
Revenues ($s)	**$15,774**	**$15,599**	**$17,319**	**$3,749**	**$4,268**	**$4,248**	**$4,478**	**$16,744**	**$3,308**	**$3,882**	**$4,620**	**$4,092**	**$15,902**	**$3,569**	**$4,400**	**$4,408**	**$4,261**	**$16,638**	**$16,887**
Deliveries (units)	**29,111**	**28,603**	**31,219**	**6,583**	**7,639**	**7,529**	**7,821**	**29,572**	**6,102**	**7,090**	**8,187**	**7,148**	**28,527**	**6,519**	**7,956**	**7,734**	**7,369**	**29,579**	**29,724**
Average sales price	$542K	$545.4K	$554.7K	$570K	$559K	$564K	$573K	$566.2K	$542K	$548K	$564K	$573K	$557K	$547K	$553K	$570K	$578K	$562K	$568K
Incentives (% of closing price)	2.7%	6.2%	6.8%	8.0%	8.7%	8.9%	9.9%	8.9%	10.9%										
Option/attach $K				$110K	$108K	$110K			$100K										
% of ASP				*19%*	*19%*	*19%*			*18%*										
Consensus Home Sales	***15,774***	***15,599***	***17,319***	***3,749***	***4,268***	***4,248***	***4,478***	***16,744***	***3,308***	***4,063***	***4,186***	***4,385***	***15,916***	***3,366***	***4,162***	***4,489***	***4,663***	***16,515***	***17,276***
Consensus Delivery Units	***29,111***	***28,603***	***31,219***	***6,583***	***7,639***	***7,529***	***7,821***	***29,572***	***5,917***	***7,274***	***7,456***	***7,965***	***28,636***	***6,030***	***7,623***	***7,830***	***8,052***	***29,538***	***30,535***
Consensus Delivery ASP	*542*	*545*	*555*	*571*	*557*	*564*	*573*	*566*	*557*	*551*	*554*	*558*	*555*	*558*	*545*	*574*	*579*	*559*	*566*
New orders ($s)	**$13,589**	**$15,244**	**$16,494**	**$4,478**	**$3,888**	**$3,640**	**$3,513**	**$15,519**	**$4,565**	**$3,924**	**$3,711**	**$3,548**	**$15,749**	**$4,841**	**$4,162**	**$3,973**	**$3,798**	**$16,775**	**$17,620**
New orders (units)	**23,277**	**28,580**	**29,226**	**7,765**	**7,083**	**6,638**	**6,428**	**27,914**	**8,034**	**7,295**	**6,837**	**6,557**	**28,723**	**8,436**	**7,660**	**7,247**	**6,950**	**30,293**	**31,505**
Average sales price	$584K	$533K	$564K	$577K	$549K	$548K	$547K	$556K	$568K	$538K	$543K	$541K	$548K	$574K	$543K	$548K	$547K	$554K	$559.3K
Consensus Order Value	***13,589***	***15,244***	***16,494***	***4,478***	***3,888***	***3,640***	***3,513***	***15,519***	***4,565***	***4,091***	***3,911***	***3,684***	***16,155***	***4,801***	***4,326***	***4,164***	***4,000***	***17,250***	***17,993***
Consensus Order Units	***23,277***	***28,580***	***29,226***	***7,765***	***7,083***	***6,638***	***6,428***	***27,914***	***8,034***	***7,354***	***6,944***	***6,598***	***28,961***	***8,366***	***7,666***	***7,284***	***7,007***	***30,261***	***32,225***
Consensus Order ASP	*584*	*533*	*564*	*575*	*552*	*548*	*547*	*556*	*552*	*545*	*547*	*549*	*548*	*561*	*555*	*553*	*557*	*555*	*558*
Backlog value ($s)	**$7,674**	**$7,320**	**$6,495**	**$7,223**	**$6,843**	**$6,235**	**$5,270**	**$5,270**	**$6,528**	**$6,570**	**$5,662**	**$5,117**	**$5,117**	**$6,390**	**$6,152**	**$5,717**	**$5,254**	**$5,254**	**$5,988**
Backlog (units)	**12,169**	**12,146**	**10,153**	**11,335**	**10,779**	**9,888**	**8,495**	**8,495**	**10,427**	**10,632**	**9,283**	**8,692**	**8,692**	**10,609**	**10,312**	**9,825**	**9,406**	**9,406**	**11,187**
Average backlog contract price	$631K	$603K	$640K	$637K	$635K	$631K	$620K	$620K	$626K	$618K	$610K	$589K	$589K	$602K	$597K	$582K	$559K	$559K	$535K
Consensus Backlog Value	***7,674***	***7,320***	***6,495***	***7,223***	***6,843***	***9,888***	***5,270***	***5,270***	***6,528***	***7,650***	***7,349***	***6,448***	***6,448***	***6,929***	***6,904***	***6,617***	***6,063***	***7,128***	***6,195***
Consensus Backlog Units	***12,169***	***12,146***	***10,153***	***11,335***	***10,779***	***9,888***	***8,495***	***8,495***	***10,427***	***10,823***	***10,333***	***8,961***	***8,961***	***11,136***	***11,179***	***10,633***	***9,588***	***9,857***	***11,354***
Consensus Backlog ASP	*631*	*603*	*640*	*637*	*635*	*631*	*620*	*620*	*609*	*608*	*608*	*609*	*609*	*612*	*621*	*614*	*608*	*607*	*546*
Community Count	**810**	**906**	**946**	**961**	**994**	**1,002**	**1,014**	**993**	**1,043**	**1,044**	**1,047**	**1,055**	**1,047**	**1,085**	**1,085**	**1,089**	**1,097**	**1,089**	**1,133**
Sequential change	*1.3%*	*11.8%*	*4.4%*	*0.1%*	*3.4%*	*0.8%*	*1.2%*	*5.0%*	*2.9%*	*0.1%*	*0.3%*	*0.7%*	*5.5%*	*3.6%*	*0.1%*	*0.3%*	*0.7%*	*4.0%*	*4.0%*
y/y % change	*1.3%*	*11.8%*	*4.4%*	*3.2%*	*6.4%*	*4.7%*	*5.6%*	*5.0%*	*8.5%*	*5.0%*	*4.5%*	*4.0%*	*5.5%*	*4.0%*	*4.0%*	*4.0%*	*4.0%*	*4.0%*	*4.0%*
Orders per community	**2.4**	**2.8**	**2.6**	**2.7**	**2.4**	**2.2**	**2.1**	**2.4**	**2.6**	**2.3**	**2.2**	**2.1**	**2.3**	**2.6**	**2.4**	**2.2**	**2.1**	**2.4**	**2.4**
Sequential change	*(23.8%)*	*15.2%*	*(5.2%)*	*25.6%*	*(10.4%)*	*(8.2%)*	*(4.1%)*	*(8.8%)*	*22.5%*	*(10.5%)*	*(6.5%)*	*(4.6%)*	*(2.2%)*	*26.4%*	*(10.5%)*	*(5.6%)*	*(4.6%)*	*0.7%*	*0.0%*
y/y % change	*(23.8%)*	*15.2%*	*(5.2%)*	*(10.8%)*	*(11.7%)*	*(10.6%)*	*(0.9%)*	*(8.8%)*	*(3.4%)*	*(3.5%)*	*(1.7%)*	*(2.2%)*	*(2.2%)*	*1.0%*	*1.0%*	*1.9%*	*1.9%*	*0.7%*	*0.0%*

Source: Company reports, FactSet and Wells Fargo Securities, LLC estimates

This document is for todd@fullertonlp.com and should not be distributed further.

PulteGroup, Inc. (PHM)
Quarterly Income Statement

Sam Reid | Wells Fargo
sam.reid@wellsfargo.com | 404-680-7232

Period end date ($ in millions except per share data)	12/31/22 FY22A	12/31/23 FY23A	12/31/24 FY24A	3/31/25 1Q25A	6/30/25 2Q25A	9/30/25 3Q25A	12/31/25 4Q25A	12/31/25 FY25A	3/31/26 1Q26A	6/30/26 2Q26E	9/30/26 3Q26E	12/31/26 4Q26E	12/31/26 FY26E	3/31/27 1Q27E	6/30/27 2Q27E	9/30/27 3Q27E	12/31/27 4Q27E	12/31/27 FY27E	12/31/28 FY28E
Consolidated Revenue	**$16,229**	**$16,062**	**$17,947**	**3,893**	**4,404**	**4,405**	**4,611**	**$17,312**	**3,409**	**4,009**	**4,767**	**4,212**	**$16,396**	**3,680**	**4,541**	**4,552**	**4,387**	**$17,160**	**$17,424**
y/y Δ	*16.5%*	*(1.0%)*	*11.7%*	*(1.4%)*	*(4.3%)*	*(1.6%)*	*(6.3%)*	*(3.5%)*	*(12.4%)*	*(9.0%)*	*8.2%*	*(8.6%)*	*(5.3%)*	*8.0%*	*13.3%*	*(4.5%)*	*4.1%*	*4.7%*	*1.5%*
Home Cost of Sales (excl. charges & Cap Int)	10,940	10,906	12,200	2,693	3,086	3,102	3,338	12,219	2,475	2,914	3,447	3,070	11,906	2,662	3,292	3,297	3,211	12,462	12,631
Land Cost of Sales (excluding charges)	120	125	190	51	30	48	37	166	27	31	31	31	121	31	31	31	31	125	125
SG&A	1,446	1,313	1,321	393	390	401	389	1,574	380	375	394	397	1,546	409	423	374	412	1,618	1,625
Interest Expense (capitalized)	154	124	112	27	29	31	35	122	25	25	25	25	100	25	25	25	25	100	100
Operating Income	**3,257**	**3,273**	**3,691**	**638**	**766**	**719**	**718**	**2,842**	**429**	**570**	**755**	**602**	**2,356**	**474**	**661**	**713**	**615**	**2,464**	**2,536**
Operating margin	**20.5%**	**20.8%**	**21.1%**	**16.8%**	**17.8%**	**16.7%**	**15.9%**	**16.8%**	**12.9%**	**14.6%**	**16.2%**	**14.6%**	**14.7%**	**13.2%**	**14.9%**	**16.1%**	**14.3%**	**14.7%**	**14.9%**
Operating margin change (bps)	367	33	28	(325)	(382)	(251)	(716)	(428)	(393)	(324)	(50)	(131)	(210)	30	35	(16)	(25)	(0)	21
Equity Income	-	5	44	1	0	2	1	4	1	2	2	2	7	2	2	2	2	8	10
Other Income (Expense), net	(32)	37	62	6	(1)	2	(99)	(92)	7	7	5	5	24	7	7	5	5	24	25
Pretax Income	**3,225**	**3,315**	**3,797**	**645**	**766**	**723**	**620**	**2,755**	**437**	**579**	**762**	**609**	**2,386**	**483**	**670**	**720**	**622**	**2,496**	**2,571**
Pretax margin	**20.3%**	**21.1%**	**21.7%**	**17.0%**	**17.8%**	**16.8%**	**13.7%**	**16.3%**	**13.1%**	**14.8%**	**16.4%**	**14.8%**	**14.9%**	**13.4%**	**15.1%**	**16.2%**	**14.5%**	**14.9%**	**15.1%**
Pretax margin change (bps)	349	80	62	(449)	(418)	(270)	(982)	(540)	(388)	(300)	(44)	102	(139)	33	32	(16)	(26)	(0)	22
Financial Services:																			
Expenses	181	187	224	55	60	59	58	232	59	54	64	54	232	65	62	61	56	244	249
FS Pretax Income	**131**	**133**	**209**	**36**	**42**	**44**	**35**	**157**	**13**	**40**	**50**	**34**	**136**	**15**	**47**	**50**	**37**	**148**	**158**
Financial services pretax margin	**42.0%**	**41.6%**	**48.2%**	**39.5%**	**41.1%**	**43.0%**	**37.5%**	**40.3%**	**17.5%**	**42.1%**	**44.0%**	**38.5%**	**37.0%**	**18.5%**	**43.1%**	**45.0%**	**39.5%**	**37.8%**	**38.8%**
Financial services pretax margin change (bps)	(1,472)	(42)	663	(489)	(1,475)	(529)	(653)	(791)	(2,194)	100	100	100	(332)	100	100	100	100	79	100
Company-wide Pretax Income	**3,356**	**3,449**	**4,006**	**681**	**807**	**768**	**655**	**2,911**	**449**	**619**	**812**	**642**	**2,522**	**498**	**717**	**770**	**659**	**2,644**	**2,729**
Company-wide pretax margin	**20.7%**	**21.5%**	**22.3%**	**17.5%**	**18.3%**	**17.4%**	**14.2%**	**16.8%**	**13.2%**	**15.4%**	**17.0%**	**15.2%**	**15.4%**	**13.5%**	**15.8%**	**16.9%**	**15.0%**	**15.4%**	**15.7%**
Company-wide pretax margin change (bps)	279	79	85	(450)	(446)	(281)	(982)	(550)	(431)	(289)	(39)	104	(143)	34	35	(11)	(22)	2	25
Income tax expense	789	847	923	158	199	182	154	693	102	154	202	160	618	122	175	189	162	649	671
Tax rate	*23.5%*	*24.6%*	*23.0%*	*23.2%*	*24.6%*	*23.7%*	*23.4%*	*23.8%*	*22.8%*	*24.9%*	*24.9%*	*24.9%*	*24.5%*	*24.5%*	*24.5%*	*24.6%*	*24.6%*	*24.5%*	*24.6%*
Net Income	**2,567**	**2,602**	**3,083**	**523**	**608**	**586**	**502**	**2,219**	**347**	**465**	**610**	**483**	**1,905**	**376**	**542**	**581**	**497**	**1,995**	**2,058**
Impact of participating securities	12	11	-	-	-	-	-	-	-				-					-	
Adjusted EPS	**$10.82**	**$11.72**	**$14.69**	**$2.57**	**$3.03**	**$2.96**	**$2.56**	**$11.12**	**$1.79**	**$2.43**	**$3.22**	**$2.57**	**$10.00**	**$2.02**	**$2.94**	**$3.19**	**$2.76**	**$10.90**	**$11.90**
y/y Δ	48.0%	8.3%	25.4%	(17.3%)	(20.9%)	(11.7%)	(42.2%)	(24.3%)	(30.1%)	(19.9%)	8.9%	0.4%	(10.1%)	12.8%	21.2%	(1.0%)	7.2%	9.0%	9.2%
Average Shares (Mil.) - Diluted	236	221	210	204	201	198	196	200	193	191	189	188	190	186	184	182	180	183	173
Consensus EPS, per FactSet	*$11.01*	*$11.72*	*$14.69*	*$2.57*	*$3.03*	*$2.96*	*$2.56*	*$11.12*	*$2.57*	*$2.59*	*$2.71*	*$2.95*	*$10.04*	*$1.98*	*$2.65*	*$2.99*	*$3.47*	*$11.12*	*$13.18*
Consensus EBIT, per FactSet	*$3,456*	*$3,379*	*$3,856*	*$706*	*$834*	*$785*	*$746*	*$3,009*	*$706*	*$652*	*$677*	*$745*	*$2,538*	*$526*	*$707*	*$750*	*$815*	*$2,733*	*$3,054*
Consensus EBITDA, per FactSet	*$3,625*	*$3,634*	*$4,143*	*$731*	*$859*	*$831*	*$804*	*$3,213*	*$731*	*$716*	*$742*	*$792*	*$2,771*	*$545*	*$734*	*$806*	*$881*	*$2,954*	*$3,310*
Adj EPS check																			
EBIT	**3,510**	**3,573**	**4,117**	**708**	**836**	**799**	**691**	**3,033**	**474**	**644**	**837**	**667**	**2,622**	**523**	**742**	**795**	**684**	**2,744**	**2,829**
EBIT (%)	21.6%	22.2%	22.9%	18.2%	19.0%	18.1%	15.0%	17.5%	13.9%	16.1%	17.6%	15.8%	16.0%	14.2%	16.3%	17.5%	15.6%	16.0%	16.2%
D&A	71	81	89	25	25	26	37	113	25	26	27	39	117	26	28	28	41	123	129
EBITDA	**3,581**	**3,654**	**4,207**	**732**	**861**	**825**	**728**	**3,146**	**499**	**670**	**864**	**706**	**2,739**	**549**	**769**	**824**	**725**	**2,867**	**2,958**
EBITDA (%)	22.1%	22.8%	23.4%	18.8%	19.6%	18.7%	15.8%	18.2%	14.6%	16.7%	18.1%	16.8%	16.7%	14.9%	16.9%	18.1%	16.5%	16.7%	17.0%
y/y Δ (bps)	251 bp	69 bp	69 bp	(426 bp)	(432 bp)	(268 bp)	(940 bp)	(527 bp)	(418 bp)	(284 bp)	(60 bp)	98 bp	(147 bp)	27 bp	23 bp	(3 bp)	(24 bp)	(0 bp)	27 bp
Margin drivers																			
Homebuilding gross profit margin (incl int expense)	29.7%	29.3%	28.9%	27.5%	27.0%	26.2%	24.7%	26.3%	24.4%	24.3%	24.8%	24.4%	24.5%	24.7%	24.6%	24.6%	24.1%	24.5%	24.6%
Homebuilding gross profit margin (excl int expense)	30.6%	30.1%	29.6%	28.2%	27.7%	27.0%	25.5%	27.0%	25.2%	24.9%	25.4%	25.0%	25.1%	25.4%	25.2%	25.2%	24.7%	25.1%	25.2%
Land gross profit margin	16.2%	12.3%	2.8%	3.0%	11.9%	9.6%	7.3%	7.6%	7.4%	3.8%	3.8%	3.8%	4.7%	3.8%	3.8%	3.8%	3.8%	3.8%	3.8%
SG&A as a % of homebuilding revenues	9.2%	8.4%	7.6%	10.5%	9.1%	9.4%	8.7%	9.4%	11.5%	9.6%	8.5%	9.7%	9.7%	11.5%	9.6%	8.5%	9.7%	9.7%	9.6%
Operating profit margin	20.5%	20.8%	21.1%	16.8%	17.8%	16.7%	15.9%	16.8%	12.9%	14.6%	16.2%	14.6%	14.7%	13.2%	14.9%	16.1%	14.3%	14.7%	14.9%
Financial services pretax margin	42.0%	41.6%	48.2%	39.5%	41.1%	43.0%	37.5%	40.3%	17.5%	42.1%	44.0%	38.5%	37.0%	18.5%	43.1%	45.0%	39.5%	37.8%	38.8%
Company-wide pretax income margin	20.7%	21.5%	22.3%	17.5%	18.3%	17.4%	14.2%	16.8%	13.2%	15.4%	17.0%	15.2%	15.4%	13.5%	15.8%	16.9%	15.0%	15.4%	15.7%
Growth Statistics																			
Home sales revenue growth	17.9%	(1.1%)	11.0%	(1.8%)	(4.1%)	(2.2%)	(4.9%)	(3.3%)	(11.8%)	(9.0%)	8.7%	(8.6%)	(5.0%)	7.9%	13.3%	(4.6%)	4.1%	4.6%	1.5%
Land sales revenue growth	(10.8%)	(0.7%)	37.5%	41.2%	(13.1%)	175.7%	(60.2%)	(8.0%)	(44.2%)	(6.1%)	(38.9%)	(17.6%)	(29.5%)	10.9%	0.0%	0.0%	0.0%	2.5%	0.0%
Financial services revenue growth	(20.0%)	2.9%	35.0%	(1.7%)	(9.4%)	(9.3%)	(18.9%)	(10.2%)	(21.0%)	(7.1%)	11.0%	(6.4%)	(5.4%)	10.4%	15.7%	(2.7%)	6.6%	6.8%	3.6%
Homebuilding gross profit growth (incl int expense)	32.4%	(2.4%)	9.6%	(8.9%)	(13.4%)	(11.0%)	(14.6%)	(12.1%)	(21.6%)	(18.1%)	2.9%	(9.7%)	(11.5%)	9.2%	14.7%	(5.3%)	2.8%	4.6%	2.0%
Homebuilding gross profit growth (excl int expense)	30.8%	(2.9%)	9.1%	(8.3%)	(13.0%)	(10.6%)	(14.0%)	(11.6%)	(21.2%)	(18.0%)	2.3%	(10.3%)	(11.7%)	9.0%	14.4%	(5.2%)	2.8%	4.5%	1.9%
SG&A growth	12.3%	(9.2%)	0.7%	10.0%	8.1%	(1.5%)	99.1%	19.1%	(3.3%)	(4.1%)	(1.6%)	1.9%	(1.8%)	7.5%	12.9%	(5.0%)	3.7%	4.6%	0.5%
Operating profit growth	43.3%	0.5%	12.8%	(17.4%)	(21.0%)	(14.3%)	(35.2%)	(23.0%)	(32.8%)	(25.6%)	4.9%	(16.2%)	(17.1%)	10.5%	15.9%	(5.5%)	2.3%	4.6%	2.9%
Financial services pretax income growth	7.2%	3.6%	19.7%	7.0%	20.8%	(0.0%)	(9.4%)	3.5%	7.6%	(8.7%)	9.0%	(7.9%)	(0.1%)	9.0%	13.7%	(4.4%)	4.8%	5.4%	2.0%
Company-wide pretax income growth	34.7%	2.8%	16.1%	(21.6%)	(23.0%)	(15.3%)	(44.6%)	(27.3%)	(34.0%)	(23.3%)	5.8%	(2.0%)	(13.4%)	10.8%	15.9%	(5.1%)	2.6%	4.8%	3.2%
EPS growth	48.0%	8.3%	25.4%	(17.3%)	(20.9%)	(11.7%)	(42.2%)	(24.3%)	(30.1%)	(19.9%)	8.9%	0.4%	(10.1%)	12.8%	21.2%	(1.0%)	7.2%	9.0%	9.2%
Diluted shares outstanding	(9.1%)	(6.4%)	(5.1%)	(4.6%)	(5.0%)	(5.0%)	(5.0%)	(4.9%)	(5.0%)	(4.6%)	(4.4%)	(4.2%)	(4.5%)	(3.9%)	(3.9%)	(3.9%)	(3.9%)	(3.9%)	(5.5%)

Source: Company reports, FactSet and Wells Fargo Securities, LLC estimates

Updated PT language: Our $140 price target is based on 14x our calendar 2026 EPS estimate. We believe this is justified given PHM's strong margins/balance sheet (w/ higher PE a function of some peak-on-trough multiple dynamics). This implies P/TBV of 2x.

This document is for todd@fullertonlp.com and should not be distributed further.

Investment Thesis, Valuation and Risks

PulteGroup, Inc. (PHM)

Investment Thesis

There are many structural reasons to like **PHM** (Overweight): **1) PHM** decisively leaned into specs (via *Centex*), and that has proven successful in today's high rate environment amidst scarce EHS; **2)** Active adult (via *Del Webb*) is high margin and structurally advantageous given 55+ buyer growth; **3) PHM**'s move-up offerings offer ample room for attach/lot premiums (= *enhances already strong margins*). In short, we see value here, offsetting NT sector risks via higher rates.

Target Price Valuation for PHM

Our $140 price target is based on 14x our calendar 2026 EPS estimate. We believe this is justified given PHM's strong margins/balance sheet (w/ higher PE a function of some peak-on-trough multiple dynamics). This implies P/TBV of 2x.

Risks to Our Price Target and Rating for PHM

Key risks include: macro sensitivity (interest rates in particular, but also consumer demand dynamics), capital constraints, supply chain constraints and stepped-up site preparation costs (a consistent challenge industry-wide).

Companies Mentioned in Report

Company Name	Ticker	Last Price (04/23/26)
PulteGroup, Inc.	PHM	$128.93

Source: Wells Fargo Securities LLC Estimates, FactSet

This document is for todd@fullertonlp.com and should not be distributed further.

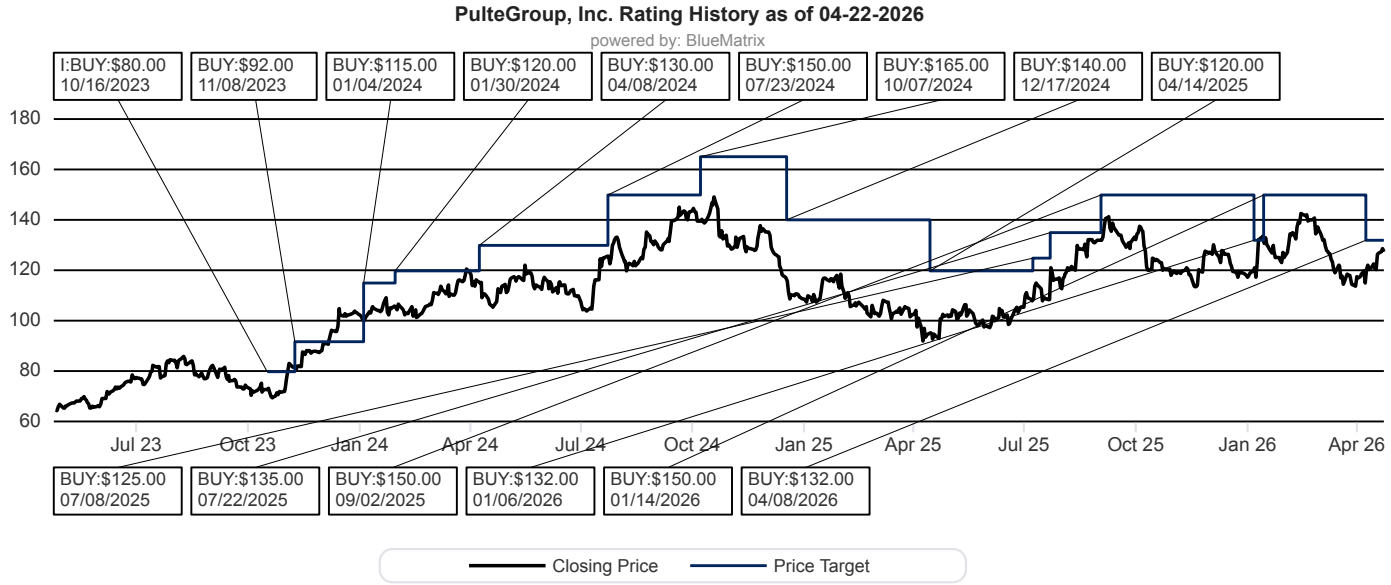
Required Disclosures

I, Sam Reid, certify that:
1) All views expressed in this research report accurately reflect my personal views about any and all of the subject securities or issuers discussed; and

2) No part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by me in this research report.

Wells Fargo Securities, LLC does not compensate its research analysts based on specific investment banking transactions. Wells Fargo Securities, LLC's research analysts receive compensation that is based upon and impacted by the overall profitability and revenue of the firm, which includes, but is not limited to investment banking revenue.

Additional Information Available Upon Request



Initiation (I); Drop Coverage (D); Overweight (BUY); Equal Weight (HOLD); Underweight (SELL); Suspended (SR); Not Rated (NR); No Estimate (NE)

Wells Fargo Securities, LLC, maintains a market in the common stock of PulteGroup, Inc..

Wells Fargo Securities, LLC, or any of its affiliates, intends to seek or expects to receive compensation for investment banking services from PulteGroup, Inc. in the next three months.

Wells Fargo Securities, LLC, or its affiliates has a significant financial interest in PulteGroup, Inc..

STOCK RATING

OW=Overweight: Total return on stock expected to be 10%+ over the next 12 months. (BUY)

EW=Equal Weight: Total return on stock expected to be -10% to +10% over the next 12 months. (HOLD)

UW=Underweight: Total return on stock expected to lag the Overweight- and Equal Weight-rated stocks within the analyst's coverage universe over the next 12 months. (SELL)

NR=Not Rated: The rating and price target has been removed due to lack of fundamental basis to support the recommendation or due to legal, regulatory or company policy considerations.

FINRA regulation requires member firms to assign ratings to one of three rating categories: Buy, Hold and Sell. In accordance with FINRA regulation and solely to satisfy those disclosure requirements in the ratings distribution table and ratings history chart contained in these Required Disclosures, our rating of Overweight corresponds to a Buy rating; Equal Weight corresponds to a Hold rating; and Underweight corresponds to a Sell rating.

As of April 22, 2026
53.1% of companies covered by Wells Fargo Securities, LLC Equity Research are rated Overweight. (BUY)
39.9% of companies covered by Wells Fargo Securities, LLC Equity Research are rated Equal Weight. (HOLD)
7.0% of companies covered by Wells Fargo Securities, LLC Equity Research are rated Underweight. (SELL)
Wells Fargo Securities, LLC has provided investment banking services for 41.0% of its Equity Research Overweight-rated companies. (BUY)

This document is for todd@fullertonlp.com and should not be distributed further.

Wells Fargo Securities, LLC has provided investment banking services for 37.5% of its Equity Research Equal Weight-rated companies. (HOLD)
Wells Fargo Securities, LLC has provided investment banking services for 39.2% of its Equity Research Underweight-rated companies. (SELL)

Important Disclosure for U.S. Clients

This report was prepared by Wells Fargo Securities Global Research Department ("WFS Research") personnel associated with Wells Fargo Securities, LLC ("Wells Fargo Securities").

WFS Research may, from time to time, provide clients with short-term trading views in its research reports regarding subject companies on which Wells Fargo Securities currently has equity research coverage. A short-term trading view offers a view on how the market price of a subject company's common equity may trend in absolute terms during the 30 days following the date of the short-term trading view. A short-term trading view on a subject company's common equity does not impact our fundamental investment rating or price target for that company, which reflect our view of how the subject company's common equity may perform over a one-year period. A short-term trading view may reach a different conclusion than the firm's fundamental investment rating and price target for a subject company and, therefore, short-term trading views could result in short-term price movements that are contrary to our fundamental investment rating and price target. Short-term trading views are not ratings and the firm does not intend, nor undertakes any obligation, to maintain, update or close out short-term trading views. Short-term trading views may not be suitable for all investors and have not been tailored to individual investor circumstances and objectives, and investors should make their own independent decisions regarding any short-term trading views discussed in WFS Research reports.

Important Disclosure for International Clients

United Kingdom – The securities and related financial instruments described herein may not be eligible for sale in all jurisdictions or to certain categories of investors. For recipients in the United Kingdom, this report is distributed by Wells Fargo Securities International Limited ("WFSIL"). WFSIL is a UK incorporated investment firm authorised and regulated by the Financial Conduct Authority. For the purposes of Section 21 of the UK Financial Services and Markets Act 2000 (the "Act"), the content of this report has been approved by WFSIL, an authorised person under the Act. WFSIL does not deal with retail clients as defined in the Directive 2014/65/EU ("MiFID2"). The FCA rules made under the Financial Services and Markets Act 2000 for the protection of retail clients will therefore not apply, nor will the Financial Services Compensation Scheme be available. This report is not intended for, and should not be relied upon by, retail clients. For the purposes of the U.K. Financial Conduct Authority's rules, this report constitutes impartial investment research.

EEA – The securities and related financial instruments described herein may not be eligible for sale in all jurisdictions or to certain categories of investors. For recipients in the EEA, this report is distributed by WFSIL or Wells Fargo Securities Europe S.A. ("WFSE"). WFSE is a French incorporated investment firm authorized and regulated by the Autorité de contrôle prudentiel et de résolution and the Autorité des marchés financiers. WFSE does not deal with retail clients as defined in the Directive 2014/65/EU ("MiFID2"). This report is not intended for, and should not be relied upon by, retail clients.

Australia – Wells Fargo Securities, LLC and Wells Fargo Securities International Limited are exempt from the requirements to hold an Australian financial services license in respect of the financial services they provide to wholesale clients in Australia. Wells Fargo Securities, LLC is regulated under the laws of the United States and Wells Fargo Securities International Limited is regulated under laws of the United Kingdom. All such laws differ from Australian laws. Any offer or documentation provided to Australian recipients by Wells Fargo Securities, LLC or Wells Fargo Securities International Limited in the course of providing the financial services will be prepared in accordance with the laws of the United States or United Kingdom and not Australian laws.

Canada – This report is distributed in Canada by Wells Fargo Securities Canada, Ltd., a registered investment dealer in Canada and member of the Canadian Investment Regulatory Organization (CIRO) and, Member – Canadian Investor Protection Fund (CIPF). Wells Fargo Securities, LLC's research analysts may participate in company events such as site visits but are generally prohibited from accepting payment or reimbursement by the subject companies for associated expenses unless pre-authorized by members of Research Management.

China – Strictly Private and Confidential. For the sole use of the recipient only. Not to be copied or redistributed within the People's Republic of China.

Brazil - This report was not created for distribution to investors resident in Brazil or to the Brazilian public in general. Wells Fargo Securities, LLC is a broker-dealer registered in United States of America with and regulated by the U.S. Securities and Exchange Commission. Wells Fargo Securities, LLC is not registered in Brazil and its products, including this report and the securities mentioned in this report, have not been and will not be publicly issued, placed, distributed, offered or negotiated in the Brazilian capital markets, and, as a result, have not been and will not be registered with the Brazilian Securities Commission (Comissão de Valores Mobiliários, the CVM). The offer of Wells Fargo Securities, LLC's products, including this report and any securities mentioned in this report, is intended only for residents in the countries in which Wells Fargo Securities, LLC is authorized to operate.

About Wells Fargo Securities

Wells Fargo Securities is the trade name for the capital markets and investment banking services of Wells Fargo & Company and its subsidiaries, including but not limited to Wells Fargo Securities, LLC, a U.S. broker-dealer registered with the U.S. Securities and Exchange Commission and a member of NYSE, FINRA, NFA and SIPC, Wells Fargo Prime Services, LLC, a member of FINRA, NFA and SIPC, Wells Fargo Securities Canada, Ltd., a member of IIROC and CIPF, Wells Fargo Bank, N.A. and Wells Fargo Securities International Limited, authorized and regulated by the Financial Conduct Authority.

This report is for your information only and is not an offer to sell, or a solicitation of an offer to buy, the securities or instruments named or described in the report. This report, including any ratings it contains, does not constitute a personal recommendation or take into account the particular investment objectives, financial situations, or needs of individual clients. Clients should seek professional advice, including tax advice, to determine whether any advice or recommendation in the attached research report is suitable for their particular circumstances. The information in this report is provided as of the date of the report and has been obtained or derived from sources believed by WFS Research to be reliable, but WFS Research does not represent that this information is accurate or complete. Any opinions or estimates contained in this report represent the judgment of WFS Research, at the time that the report was published, and are subject to change without notice.

All Wells Fargo Securities research reports published by WFS Research are disseminated and available to all clients simultaneously through electronic publication to our internal client websites. Clients may also receive our research via third party vendors. Not all research content is redistributed to our clients or available to third-party aggregators, nor is WFS Research responsible for the redistribution of our research by third-party aggregators.

This document is for todd@fullertonlp.com and should not be distributed further.

Equity Strategists focus on investment themes across the equity markets and sectors. Any discussion within an Equity Strategy report of specific securities is not intended to provide a fundamental analysis of any individual company described therein. The information provided in Equity Strategy reports is subject to change without notice, and investors should not expect continuing information or additional reports relating to any security described therein.

Clients of WFS Research are permitted to store, display, analyze, modify, reformat, copy, duplicate and reproduce this report and the information contained within it for their own internal use and for no other purpose. Without the prior written consent of Wells Fargo Securities, no part of this report may be copied, duplicated or reproduced in any form by any other means. In addition, this report and its contents may not be redistributed or transmitted to any other party in whole or in part, directly or indirectly, including by means of any AI Technologies (defined below) through which this report or any portion thereof may be accessible by any third-party. “AI Technologies” means any deep learning, machine learning, and other artificial intelligence technologies, including without limitation any and all (a) proprietary algorithms, software, or systems that make use of or employ neural networks, statistical learning algorithms (such as linear and logistic regression, support vector machines, random forests or k-means clustering) or reinforcement learning, or curated data sets accessible by any of the foregoing or (b) proprietary embodied artificial intelligence and related hardware or equipment.

In addition, certain text, images, graphics, screenshots and audio or video clips included in this report are protected by copyright law and owned by Wells Fargo Securities, its affiliates or one or more third parties (collectively, “Protected Content”). Protected Content is made available to clients by Wells Fargo under license or otherwise in accordance with applicable law. Any use or publication of Protected Content included in this report for purposes other than fair use requires permission from Wells Fargo Securities or, in the case of content attributed to any third party, the third-party copyright owner. You may not alter, obscure, or remove any copyright, trademark or any other notices attached to or contained within this report. These Conditions of Use are not intended to, and will not, transfer or grant any rights in or to the report or the information contained within it other than those rights that are specifically described herein. All rights not expressly granted herein are reserved by Wells Fargo Securities or the third-party providers from whom Wells Fargo Securities has obtained the applicable information.

Any external website links included in this publication are not maintained, controlled or operated by Wells Fargo Securities. Wells Fargo Securities does not provide the products and services on these websites and the views expressed on these websites do not necessarily represent those of Wells Fargo Securities. Please review the applicable privacy and security policies and terms and conditions for the website you are visiting.

Copyright © 2026 Wells Fargo Securities, LLC

SECURITIES: NOT FDIC-INSURED - MAY LOSE VALUE - NO BANK GUARANTEE

This document is for todd@fullertonlp.com and should not be distributed further.